

Volume sloped downward as line G shows. Even though volume slopes upward most of the time in an AB=CD pattern, the direction is nearly random (53%). He made this trade in a bull market (the bear market ended in early 2009), and [Table 3.2](#) says a falling volume trend penalizes performance, but only by about a percentage point (dropping from 38.4% to 37%).

He used the traditional measure rule for chart patterns to estimate how far price would climb if the pattern broke out upward. The height of the pattern is $A - D$ ($6.65 - 5.59$) or 1.06, so the target would be $1.06 + 6.65$ or 7.71, which is the height added to the high at point A. A downward breakout would be $D - 1.06$ or 4.53 (or 19% lower).

“When the stock made a strong push upward at E,” he told me, “I bought at the open the next day and received a fill at 6.02. And I just ate breakfast, too.” He grinned.

I scratched my head.

“The stock filled...ate breakfast. Get it?”

I exhaled, rolled my eyes, but said nothing. With a calculated rise to 7.71, he was looking at a potential gain of 18%. “That sounds reasonable,” he said.

For grins, he calculated a new target based on half the height ($1.06/2$ or .53 added to the high at A) or 7.18. If he sold at the closer target, he'd make 9%.

“Let's look at the historical chart.” He punched keys on his computer and pulled up a chart from 2007. “Overhead resistance here,” he pointed and swept his finger across the screen. Price moved horizontally for a year. “Looks like a cloudbank pattern,” before the bear market started and sucked the stock down. If the stock worked as he hoped, it would have to traverse through that resistance to reach the full height target. “Am I asking too much for price to rise that far?”

A check of [Table 3.3](#) didn't set well with him. With just 38% of patterns showing a reversal at D, he decided to place a tight stop a penny below the low at D ($5.59 - .01$ or 5.58).

“The trade went bad right from the start. The day I bought, the stock closed lower, almost reversing the move up at price bar E. Four days later,” he